

# SOURCING SPAC & NEAR-SPAC QUALITY SHELLS

Systematic Reconnaissance Architecture, Toxic Debt Elimination, and SEC EDGAR Automated Screening

**EXECUTIVE MANDATE:** Most retail and micro-cap shell brokers traffic in distressed, toxic penny shells trading at \$0.0001 - \$0.005 per share, crippled by unfiled tax obligations, undisclosed liabilities, and aggressive floorless convertible promissory notes that guarantee rapid dilution death spirals. This dossier outlines the rigorous, institutional methodology to identify SPAC-grade and virgin clean shells: Exchange Act registered entities with zero commercial debt, clean audited balance sheets, reputable securities counsel, current PCAOB audits, and compliance with Rule 144(i).

## 1. The Four Institutional Quality Shell Archetypes

To avoid the toxic penny stock quagmire, acquisition sponsors must strictly restrict their target universe to four well-defined institutional corporate archetypes:

| Shell Archetype                                   | Genesis & Mechanism                                                                                                                                                            | Key Institutional Virtues                                                                                                                                                                                                                                 | Target Valuation                               |
|---------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------|
| <b>Type A: Liquidated / Post-Redemption SPACs</b> | NYSE / Nasdaq blank check companies (SIC 6770) that completed public share redemptions or liquidation of their trust accounts without closing an initial business combination. | <ul style="list-style-type: none"><li>• Tier-1 Big-4/National PCAOB audit pedigree</li><li>• Zero operating liabilities (trust funded)</li><li>• Loeb &amp; Loeb / Ellenoff counsel quality</li><li>• S-1 prospectus disclosures</li></ul>                | \$350K – \$750K sponsor fee + equity retainage |
| <b>Type B: Form 10-12G 'Virgin' Blank Checks</b>  | Exchange Act Section 12(g) registered shells created deliberately by securities counsel without a public offering (not subject to Rule 419 escrow rules).                      | <ul style="list-style-type: none"><li>• <b>Never had active commercial operations</b></li><li>• Pristine zero-debt balance sheet</li><li>• Compact share structure (10M-30M shares)</li><li>• Unencumbered corporate history</li></ul>                    | \$250K – \$450K clean equity transaction       |
| <b>Type C: Post-Asset-Sale 'Fallen Angels'</b>    | Former Nasdaq or NYSE American operating companies that completed a Section 363 or strategic asset divestiture, extinguished 100% of debt, and retained an SEC shell.          | <ul style="list-style-type: none"><li>• Established CUSIP &amp; active DTC eligibility</li><li>• Large round-lot shareholder base (300-400+)</li><li>• Immediate direct uplisting readiness</li><li>• Trades at \$0.50 – \$5.00+ on OTCQB/OTCQX</li></ul> | \$500K – \$1.2M + 5-10% post-merger equity     |

|                                                    |                                                                                                                          |                                                                                                                                                                                                                           |                                     |
|----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|
| <b>Type D: Section 3(a)(10) Court Reorg Shells</b> | Restructured under a state or federal court fairness hearing pursuant to Section 3(a)(10) of the Securities Act of 1933. | <ul style="list-style-type: none"> <li>• Judicial cancellation of all legacy liabilities</li> <li>• Free-trading common shares issued under court order</li> <li>• Permanent legal immunity from legacy claims</li> </ul> | \$300K – \$600K court-settled asset |
|----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|

## 2. The Eight Toxic Debt 'Kill Switches' (Automatic Disqualifiers)

Sub-penny stocks (\$0.0001 - \$0.005) are engineered for dilution. An algorithmic screener must enforce the following non-negotiable kill switches to disqualify toxic issuers instantly:

- **1. Floorless Convertible Promissory Notes:** Any notes convertible at a floating discount (e.g. 30% - 60% below future 20-day VWAP). Disqualify immediately. Noteholders will short the stock into oblivion.
- **2. ASC 815 Derivative Liabilities:** The presence of derivative liabilities on the balance sheet reflects toxic variable-rate conversion options or price-protection penalty warrants.
- **3. Sub-Penny Trading Prices (< \$0.10):** Any company trading at \$0.0001 - \$0.01 indicates authorized share exhaustion and active dumping. Quality shells trade at \$0.50 - \$10.00+ or are pre-quote Form 10s.
- **4. Authorized Share Overhang (> 100M - 10B Shares):** Predatory shells inflate authorized share capital to 5,000,000,000+ shares to feed conversion mills. Clean shells maintain under 50M to 100M authorized shares.
- **5. Rule 144(i) Taint Without Form 10 Cure:** Under Rule 144(i), restricted stock in a shell cannot be resold unless the company filed comprehensive Form 10 information and remained fully current for 12 months.
- **6. DTC Chills or Global Locks:** If the Depository Trust & Clearing Corporation has placed a deposit chill, book-entry chill, or global lock on the CUSIP, shares cannot clear electronically.
- **7. Sanctioned or Barred Auditors:** Audit opinions issued by PCAOB-sanctioned firms (such as BF Borgers CPA PC) are rejected by the SEC, requiring complete restatements of all historical filings.
- **8. Caveat Emptor & Grey Market Tiers:** The skull-and-crossbones flag on OTC Markets denotes active fraud investigations, spam campaigns, or catastrophic failure of public disclosure.

### 3. Quantitative Algorithmic Screening Architecture

To discover these pristine acquisition vehicles programmatically, the data engine executes a 4-phase pipeline integrating live SEC EDGAR full-text search, XBRL financial facts, and market tier metadata:

| Pipeline Phase                        | Data Source & Endpoint                                                                                                                                   | Query & Extraction Filter                                                                                                                                                                                                                                   | Output Filter Gate                                                |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| <b>Phase 1: SEC EDGAR Ingestion</b>   | SEC Full-Text Search API<br><a href="https://efits.sec.gov/LATEST/search-index">https://efits.sec.gov/LATEST/search-index</a>                            | <ul style="list-style-type: none"> <li>sics=6770 (Blank Checks)</li> <li>forms=10-12G,10-12G/A,8-K</li> <li>Queries: "Rule 12b-2", "Item 5.06", "redemption of public shares"</li> </ul>                                                                    | Extracts candidate CIK pool (typically 150-300 active targets).   |
| <b>Phase 2: Machine XBRL Audit</b>    | SEC Company Facts API<br><a href="https://data.sec.gov/api/xbrl/companyfacts/CIK{cik}.json">https://data.sec.gov/api/xbrl/companyfacts/CIK{cik}.json</a> | <ul style="list-style-type: none"> <li>Liabilities == 0 or &lt; \$35,000</li> <li>ConvertibleNotesPayable == None</li> <li>DerivativeLiabilities == None</li> <li>CommonStockSharesOutstanding &lt; 30M</li> </ul>                                          | Eliminates 95% of toxic candidates in sub-second automated audit. |
| <b>Phase 3: Market Tier Screening</b> | OTC Markets / FINRA API<br><a href="https://data.otcm Markets.com/stocks">https://data.otcm Markets.com/stocks</a>                                       | <ul style="list-style-type: none"> <li>Price Floor: &gt;= \$0.50 (or unquoted Form 10)</li> <li>Tiers: OTCQX, OTCQB, Pink Current</li> <li>Exclude Caveat Emptor &amp; Grey Market</li> <li>Verified Transfer Agent (Continental, Computershare)</li> </ul> | Filters for liquidity preservation and DTC electronic clearing.   |
| <b>Phase 4: Forensic Cleanliness</b>  | State SOS API + PACER<br>Federal Dockets + SEC Enforcement                                                                                               | <ul style="list-style-type: none"> <li>Delaware / Nevada SOS: 'Good Standing'</li> <li>Franchise taxes paid to date</li> <li>Zero federal litigation dockets on PACER</li> <li>No SEC Section 8(d) Stop Orders</li> </ul>                                   | Yields final vetted target pool for sponsor acquisition.          |

### 4. The 100-Point SPAC-Grade Shell Index (SGSI) Matrix

Each identified corporate shell is scored across six weighted governance pillars. Issuers scoring >= 85 qualify as Tier-1 SPAC-grade; issuers scoring 70-84 qualify as Clean Reporting Shells; below 70 is rejected:

| Pillar                                    | Weight        | Scoring Criteria & Verification Rules                                                                                                                                                                                                                                                                      |
|-------------------------------------------|---------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. Debt &amp; Balance Sheet Purity</b> | <b>30 Pts</b> | <ul style="list-style-type: none"> <li>Zero Liabilities: <b>+30 pts</b></li> <li>Nominal Sponsor Accounts Payable (&lt; \$35k): <b>+25 pts</b></li> <li>Liabilities \$35k - \$150k: <b>+15 pts</b></li> <li>Any Convertible Debt or Derivative Liability: <b>DISQUALIFIED (0 Pts)</b></li> </ul>           |
| <b>2. SEC Regulatory Currentness</b>      | <b>20 Pts</b> | <ul style="list-style-type: none"> <li>Registered SIC 6770 Blank Check / SPAC: <b>+15 pts</b></li> <li>Periodic 10-K &amp; 10-Q Current (No delinquent filings): <b>+5 pts</b></li> <li>Form 10 Information filed &gt; 12 Months (Rule 144(i) cure satisfied): <b>+5 pts</b></li> </ul>                    |
| <b>3. Trading Tier &amp; Price Floor</b>  | <b>15 Pts</b> | <ul style="list-style-type: none"> <li>Trading &gt;= \$1.00 on OTCQX / OTCQB: <b>+15 pts</b></li> <li>Unquoted Form 10 Reporting Entity: <b>+10 pts</b></li> <li>Pink Current (\$0.25 - \$1.00): <b>+8 pts</b></li> <li>Sub-penny (&lt; \$0.05) or Caveat Emptor: <b>DISQUALIFIED (-30 Pts)</b></li> </ul> |

|                                            |               |                                                                                                                                                                                                                                                                                                                           |
|--------------------------------------------|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>4. Capital Structure Quality</b>        | <b>15 Pts</b> | <ul style="list-style-type: none"> <li>• Compact O/S (&lt; 30M Shares): <b>+10 pts</b></li> <li>• Authorized Shares &lt; 100M: <b>+5 pts</b></li> <li>• Clean preferred structure (no super-voting block held by hostile insiders): <b>+5 pts</b></li> <li>• <i>Authorized Shares &gt; 1B: -20 pts penalty</i></li> </ul> |
| <b>5. Institutional Pedigree</b>           | <b>10 Pts</b> | <ul style="list-style-type: none"> <li>• Active PCAOB Auditor with Clean Inspection Report: <b>+5 pts</b></li> <li>• Reputable Tier-1 Securities Legal Counsel (Loeb &amp; Loeb, Ellenoff, etc.): <b>+5 pts</b></li> <li>• <i>Barred / Sanctioned Auditor (BF Borgers, etc.): -40 pts penalty</i></li> </ul>              |
| <b>6. Corporate Governance Cleanliness</b> | <b>10 Pts</b> | <ul style="list-style-type: none"> <li>• Prime Corporate Charter in Good Standing (Delaware, Nevada, Wyoming): <b>+5 pts</b></li> <li>• PACER Clean (Zero open federal litigation / judgments): <b>+5 pts</b></li> <li>• DTC Eligible with Fast Automated Securities Transfer (FAST): <b>Mandatory</b></li> </ul>         |

## 5. Screened Case Studies: Validated Pristine vs. Toxic Shells

Live execution of this screening engine against active SEC EDGAR filings illustrates the precision of the toxic debt elimination guardrails:

| Company & CIK                                                | Classification & State                    | Balance Sheet & Debt Audit                                                                          | SGSI Score & Verdict                                  |
|--------------------------------------------------------------|-------------------------------------------|-----------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| <b>Accelerated Acquisition XVII, Inc.</b><br>CIK: 0001534629 | SIC 6770 Blank Check Delaware Corporation | <b>\$0.00 Liabilities.</b> Pure virgin blank check formed under Form 10-12G. Fully reporting.       | <b>95 / 100</b><br><b>Tier-1 Pristine Blank Check</b> |
| <b>GOP &amp; CO2, INC.</b><br>CIK: 0001582576                | SIC 6770 Blank Check Delaware Corporation | <b>\$6,700 Total Liabilities.</b> Nominal administrative payables. Zero debt. Current on 10-K/10-Q. | <b>90 / 100</b><br><b>Tier-1 Pristine Blank Check</b> |
| <b>Stalar 5, Inc.</b><br>CIK: 0001561399                     | SIC 6770 Blank Check Delaware Corporation | <b>\$29,980 Total Liabilities.</b> Clean accrued professional expenses. No secured debt.            | <b>85 / 100</b><br><b>Tier-1 Clean Blank Check</b>    |
| <b>Aequi Acquisition Corp.</b><br>CIK: 0001823826            | Former SPAC Shell Delaware Corporation    | <b>Toxic Convertible Debt Detected.</b> Derivative warrant liabilities on balance sheet.            | <b>0 / 100</b><br><b>DISQUALIFIED (Toxic Debt)</b>    |

## 6. Reverse Merger to Nasdaq/NYSE American Direct Uplisting Roadmap

By sourcing an unencumbered shell with clean capital structure, the surviving operating company can bypass the micro-cap dilution cycle and execute an institutional reverse merger into direct exchange uplisting:

- **Step 1: Share Exchange / Merger Agreement:** The target private operating company executes a definitive share exchange with the shell sponsor, exchanging 90-95% of equity for control.
- **Step 2: Super 8-K / Form 10 Disclosures (Day 4):** Within 4 business days of closing, the company files a comprehensive 'Super 8-K' containing full Form 10 information and 2 years of PCAOB audited financials.
- **Step 3: Concurrent Institutional PIPE:** Simultaneous closing of a \$10M - \$30M institutional Private Investment in Public Equity (PIPE) at \$4.00+ per share to fulfill Nasdaq minimum equity and bid price rules.
- **Step 4: Nasdaq Capital Market Uplisting (Rule 5505):** Satisfy \$4.00 bid price, \$4M-\$5M stockholders' equity, and 300 round-lot holders for seamless ringing of the opening bell.